Business Reader – Assignment 2 – Exhibit

Exhibit 1

Ola Electric loss narrows to Rs 336 crore, revenue down 45%

The Bhavish Aggarwal-led company reported revenue from operations of Rs 455 crore for the June quarter, down from Rs 828 crore a year earlier, according to its stock exchange filing.

Electric two-wheeler maker Ola Electric reported a narrower net loss of Rs 336 crore in the June quarter, from Rs 428 crore a year ago, helped by lower operating expenses, while revenue slumped 45% due to lower vehicle sales.

The Bhavish Aggarwal-led company reported revenue from operations of Rs 455 crore for the June quarter, down from Rs 828 crore a year earlier, according to its stock exchange filing.

"FY26 was a year which actually took some difficult decisions and necessary actions," Aggarwal said on the post-earnings call. "We reset the operating model, streamlined the organisation, tightened execution, and materially optimised our cost structure. Q1-27 was the first full quarter operating at that reset pace."

The company said it delivered nearly 39,192 vehicles in the quarter, lower than 68,192 in the year-ago quarter, but higher than 20,256 units in Q4 FY26.

Vehicle orders doubled to 44,071 units in this quarter from 22,522 in the March quarter. Aggarwal had guided two-wheeler orders between 40,000-45,000 and a consolidated revenue of Rs 500-550 crore for Q1, nearly double Q4 levels, in a social media post in May.

The results come as the company continues to face pressure following a sharp erosion in sales and market share over the past year. Rivals including TVS Motor, Bajaj Auto, Ather Energy, and Hero MotoCorp are all ahead of the company in monthly sales. According to Vahan data, Ola's market share has shrunk dramatically, falling from 36.7% in calendar year 2024 to 16.1% in 2025, and further to 6.9% in July 2026.

Narrowing expenses

The company's operating expenses declined 35% year-on-year (YoY) to Rs 333 crore in the June quarter, improving its operating loss before interest, tax, depreciation, and amortisation to Rs 165 crore from a loss of Rs 237 crore a year ago.

The total expenses included a one-time reversal of Rs 57 crore in Advanced Chemistry Cell (ACC) PLI (production-linked incentive) penalties.

While consolidated gross margins improved to 30.5% in the June quarter from 25.8% a year ago, operating Ebitda margins were negative 42.8%, compared to negative 35.7% in the year-ago quarter.

Cost optimisation

On the earnings call, Aggarwal noted that as lithium iron phosphate (LFP) batteries are progressively integrated into the company's portfolio, battery cost optimisation is expected to become another lever to improve product economics.

"NMC is costlier than LFP, and gross margins on the NMC-based Shakti were below our target. We therefore decided not to scale it and are moving to an LFP-based Shakti, which will have healthier gross margins," he said. NMC is a lithium-ion cell that uses a cathode made of nickel, manganese, and cobalt.

He added that going forward, almost all of Ola Electric's auto business will move to LFP, and about 20% of the portfolio — the higher-performance, top-end products — will remain NMC-based.

The company also said its gigafactory is expected to be operational at 6 gigawatt-hours by September. Aggarwal expects capex to be around Rs 30-50 crore going ahead. In June, the company raised Rs 780 crore through a qualified institutional placement (QIP).

"As this (customer) base matures, service can increasingly develop into a recurring high-margin revenue stream, with our roadmap targeting service revenues of approximately 400 to 500 crore by 2027-28," Aggarwal said on the call.

Exhibit 2

All figures in ₹ crore unless stated.

- On a profit or cash line, a minus sign means a loss or cash going out. On an expense line, it means a credit : money coming back, which lowers costs
- PLI (production-linked incentive) is a government scheme. Ola receives incentives under it, which sit inside gross margin (Exhibit 2D)
- A provision is an amount set aside in the accounts for a cost the company expects to pay. A reversal takes it back out

Exhibit 2A: Summary of results (consolidated)

Particulars	Q1 FY27	Q4 FY26 (previous quarter)	Q1 FY26 (a year earlier)
Revenue from operations	455	265	828
Gross margin %	30.5%	38.5%	25.8%
Operating expenses*	333	428	512
Operating EBITDA	-165	-281	-237
Profit after tax (PAT)	-336	-500	-428
Cash flow from operations (CFO)	-215	91	-143
Free cash flow (FCF)	-351	-131	-282

*Operating expenses include lease expenses. The article's operating Ebitda margin of negative 42.8% uses adjusted operating EBITDA, which is not shown here.

Exhibit 2B: Cell segment (Ola's battery cell business)

Particulars	Q1 FY27	Q4 FY26 (previous quarter)	Q1 FY26 (a year earlier)
Revenue from operations	5	4	3
Operating expenses	-21	39	47
Operating EBITDA	28	-36	-43
Profit after tax (PAT)	-28	-82	-69

Exhibit 2C: Average selling price (ASP) per vehicle, in ₹ thousand (114k means ₹1,14,000)

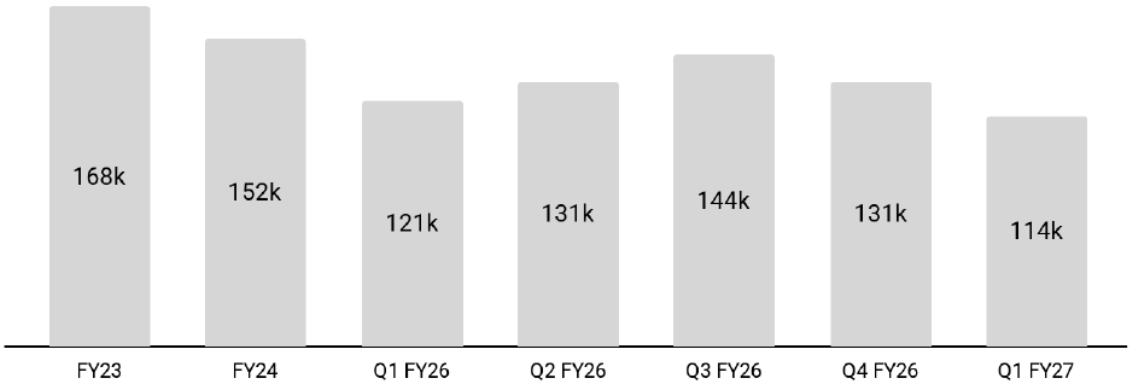


Exhibit 2D: Gross margin, with and without the PLI incentive Ola receives

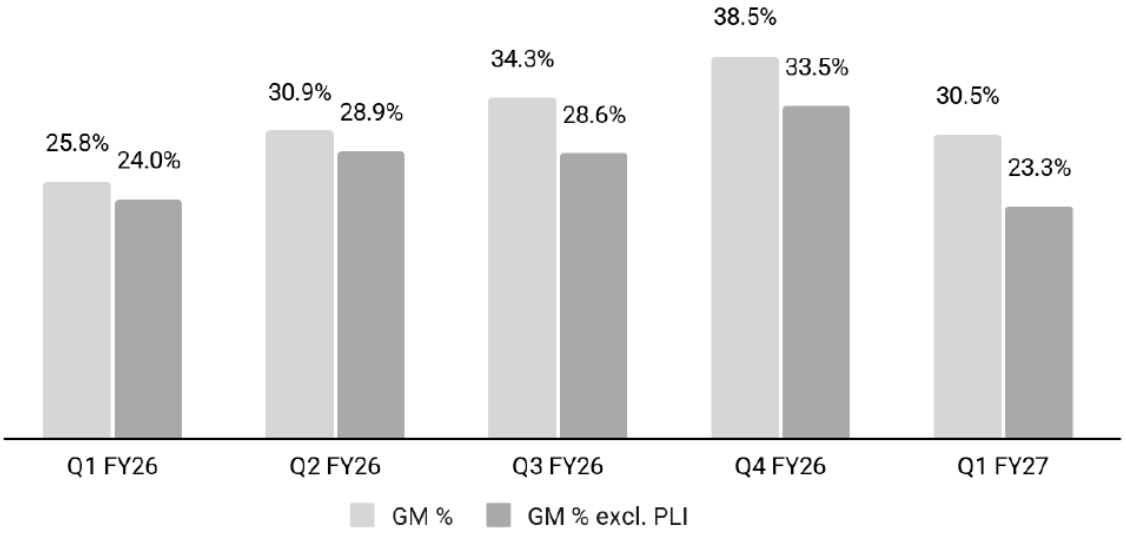


Exhibit 2E: The auditor's review report on the Q1 FY27 results (B S R & Co. LLP), paragraph 6

> Between the years ended 31 March 2024 and 31 March 2026, Ola Cell Technologies Private Limited ("OCTPL"), a subsidiary of the Holding Company, had recognised a provision aggregating Rs. 57 crore as at 31 March 2026 towards liquidated damages relating to non-compliance with an investment milestone condition stipulated by the Ministry of Heavy Industries ("MHI") under the applicable incentive scheme.
>
> During the quarter ended 30 June 2026, OCTPL has reversed the entire provision and recognised a corresponding credit within other expenses in the Statement of unaudited consolidated financial results and have not created any provision for the quarter ended 30 June 2026 on the basis that it had submitted a request to MHI seeking an extension of time for compliance with the investment milestone and a waiver of the related liquidated damages. As at 30 June 2026, approval from MHI in respect of such request had not been received.
>
> In the absence of approval from MHI granting the requested extension and waiver, we were unable to obtain sufficient appropriate audit evidence in relation to the reversal of the aforesaid provision and non-recognition of additional provision for the quarter ended 30 June 2026.
>
> Consequently, we were unable to determine whether any adjustments to these amounts were necessary.
>
> Our conclusion on the Statement is qualified because of the possible effect of this matter.

Business Reader – Assignment 2 (60 mins)
Version A

Instructions

- Two documents : this question paper and the exhibits booklet
- The booklet holds Exhibit 1, the article, and Exhibit 2, five extracts from the company's results documents. Nothing else may be used
- Part A : five numerical questions, Part B : five reading questions
- +4 for correct answer, -1 for wrong answer and 0 for no attempt
- One option per question. Two marked answers count as a wrong answer
- Figures are in rupees crore unless the exhibit says otherwise
- Round percentages to the nearest whole number unless the options show decimals
- A calculator is allowed

Part A : numerical (4 marks each)

A1. By how much did Ola's consolidated revenue from operations change in Q1 FY27, over the previous quarter and over the same quarter a year earlier?

(a) Up about 94 per cent over the quarter, down about 45 per cent over the year
(b) Down about 45 per cent over the quarter, up about 72 per cent over the year
(c) Up about 72 per cent over the quarter, down about 45 per cent over the year
(d) Up about 42 per cent over the quarter, down about 82 per cent over the year

A2. Ola's Q1 FY27 operating expenses include the one-time ₹57 crore reversal named in the article. Add the ₹57 crore back to Q1 FY27 and leave the earlier quarters as printed. By how much did operating expenses fall, over the previous quarter and over the same quarter a year earlier?

(a) About 9 per cent over the quarter, about 24 per cent over the year
(b) About 22 per cent over the quarter, about 35 per cent over the year
(c) About 35 per cent over the quarter, about 22 per cent over the year
(d) About 9 per cent over the quarter, about 35 per cent over the year

A3. How did Ola's gross margin excluding PLI change in Q1 FY27, over the previous quarter and over the same quarter a year earlier?

(a) Down about 8 percentage points over the quarter, up about 5 points over the year
(b) Down about 10 percentage points over the quarter, down about 1 point over the year
(c) Down about 10 percentage points over the quarter, up about 5 points over the year
(d) Up about 10 percentage points over the quarter, up about 1 point over the year

A4. By how much did Ola's average selling price per vehicle change in Q1 FY27, over the previous quarter and over the same quarter a year earlier?

(a) Down about 11 per cent over the quarter, down about 4 per cent over the year
(b) Down about 6 per cent over the quarter, down about 13 per cent over the year
(c) Down about 15 per cent over the quarter, down about 6 per cent over the year
(d) Down about 13 per cent over the quarter, down about 6 per cent over the year

A5. In June, Ola raised ₹780 crore through a QIP, a sale of new shares to large investors. Suppose Ola keeps using cash outflow at Q1 FY27 levels. ₹About how many quarters would the ₹780 crore cover?

(a) About 2.2 quarters

(b) About 4.7 quarters

(c) About 1.7 quarters

(d) About 3.6 quarters

Part B : reading (4 marks each)

B1.

Statement 1: Ola's "consolidated gross margins improved to 30.5% in the June quarter from 25.8% a year ago".

Statement 2: Exhibit 2D, the gross margin with and without the PLI incentive.

(a) Statement 1 can stand, and Statement 2 backs it : without the incentive, the margin also rose from a year earlier, by a little less

(b) Statement 1 can stand, but without the incentive the margin rose faster than with it, so the incentive's share of the margin shrank

(c) Statement 1 can stand, but Statement 2 shows the whole improvement came from cheaper batteries bought during the quarter

(d) Statement 1 can stand, but the improvement comes from the PLI incentive : without it, the margin was slightly lower than a year earlier

B2.

Statement 1: "The total expenses included a one-time reversal of Rs 57 crore in Advanced Chemistry Cell (ACC) PLI (production-linked incentive) penalties."

Statement 2: The auditor's review report on these results.

(a) Statement 1 is right, and Statement 2 backs it : the auditor checked the reversal and agreed that the penalty no longer has to be paid

(b) Statement 1 is right that a reversal was booked, but Statement 2 shows it was booked in the earlier two years, before this quarter

(c) Statement 1 is right that a reversal was booked, but the auditor could not get enough evidence for it and qualified its conclusion

(d) Statement 1 is right, and Statement 2 adds that the ministry has already approved the waiver Ola asked for, so the reversal is final

B3.

Statement 1: Ola's cell business made an operating profit in Q1 FY27, with operating EBITDA of ₹28 crore.

Statement 2: Over the previous quarter, the cell business's revenue rose from ₹4 crore to ₹5 crore, and its operating expenses went from ₹39 crore to minus ₹21 crore.

(a) Statement 1 can stand, and Statement 2 explains it : higher sales and tighter cost control lifted the cell business into profit

(b) Statement 1 can stand on the printed figure, but most of the swing is a one-time accounting entry that cut the cell business's expenses this quarter

(c) Statement 1 can stand on the printed figure, but most of the swing is a one-time gain from selling cell equipment during the quarter

(d) Statement 1 can stand, and the cell business also made a net profit (profit after tax) in the quarter

B4.

Statement 1: "Aggarwal had guided two-wheeler orders between 40,000-45,000 and a consolidated revenue of Rs 500-550 crore for Q1".

Statement 2: What Ola reported for Q1 FY27 : orders in the article, revenue in Exhibit 2A.

(a) Ola met both parts of the guidance : orders and revenue both landed inside the ranges given in May

(b) Orders landed inside the guided range, but revenue came in below the bottom of its range by about ₹45 crore

(c) Revenue landed inside the guided range, but orders came in below the bottom of their range by about 4,000 units

(d) Ola beat both parts of the guidance : orders and revenue both came in above the top of the ranges given in May

B5. Which headline do the exhibits support?

(a) Ola Electric's loss narrows, and it burns less cash than a year ago

(b) Ola Electric's loss narrows, and it turns cash positive for the first time

(c) Ola Electric's loss narrows, but it burns more cash than a year ago

(d) Ola Electric's loss widens, but its cash flow from operations improves on last quarter

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Part C : in your own words (optional, unmarked)

Optional, no marks. Rewrite the title, the subtitle and a one-paragraph summary of this article, in your own words. Title under 12 words, subtitle under 25, summary under 80.

Business Reader – Assignment 2 : Answer Sheet

VERSION A

Use a black or dark blue pen. Fill each answer circle fully. Write only on this sheet; it is the only page that is marked. Do not fold it.

1. **Write your email ID below.**

_____

2. **Answers (+4 right, -1 wrong, 0 blank; fill one circle per question, fully)**

	(a)	(b)	(c)	(d)		(a)	(b)	(c)	(d)
A1	○	○	○	○	**B1**	○	○	○	○
A2	○	○	○	○	**B2**	○	○	○	○
A3	○	○	○	○	**B3**	○	○	○	○
A4	○	○	○	○	**B4**	○	○	○	○
A5	○	○	○	○	**B5**	○	○	○	○

3. **Part C**

Business Reader
Assignment 2 (Ola Electric) : Answers Explained

How to read this

Every question is printed in full, with the right option highlighted. Under it you will find the part of the article or the exhibit you needed, the working, and a line on each wrong option. Exhibit numbers match your exhibits booklet.

This key follows Version A. If you sat Version B, you had the same ten questions in a different order, with the options shuffled and lettered (p) to (s).

The Version A answers are below.

Question	A1	A2	A3	A4	A5	B1	B2	B3	B4	B5
Answer	(c)	(a)	(b)	(d)	(a)	(d)	(c)	(b)	(b)	(c)

Part A

A1

By how much did Ola's consolidated revenue from operations change in Q1 FY27, over the previous quarter and over the same quarter a year earlier?

(a) Up about 94 per cent over the quarter, down about 45 per cent over the year
(b) Down about 45 per cent over the quarter, up about 72 per cent over the year
(c) Up about 72 per cent over the quarter, down about 45 per cent over the year
(d) Up about 42 per cent over the quarter, down about 82 per cent over the year

What you needed. Exhibit 2A :

Particulars	Q1 FY27	Q4 FY26 (previous quarter)	Q1 FY26 (a year earlier)
Revenue from operations	**455**	**265**	**828**

Working. Over the quarter : 455 ÷ 265 = 1.72, up 72 per cent. Over the year : 455 ÷ 828 = 0.55, down 45 per cent.

Answer : (c).

A2

Ola's Q1 FY27 operating expenses include the one-time ₹57 crore reversal named in the article. Add the ₹57 crore back to Q1 FY27 and leave the earlier quarters as printed. By how much did operating expenses fall, over the previous quarter and over the same quarter a year earlier?

(a) About 9 per cent over the quarter, about 24 per cent over the year
(b) About 22 per cent over the quarter, about 35 per cent over the year
(c) About 35 per cent over the quarter, about 22 per cent over the year
(d) About 9 per cent over the quarter, about 35 per cent over the year

What you needed. Exhibit 1, the article :

> The total expenses included a **one-time reversal of Rs 57 crore** in Advanced Chemistry Cell (ACC) PLI (production-linked incentive) penalties.

Exhibit 2A :

Particulars	Q1 FY27	Q4 FY26 (previous quarter)	Q1 FY26 (a year earlier)
Operating expenses	333	428	512

Working. The reversal is a credit that lowered this quarter's costs, so add it back : 333 + 57 = 390. Over the quarter : 390 ÷ 428 = 0.91, down 9 per cent. Over the year : 390 ÷ 512 = 0.76, down 24 per cent.

Answer : (a).

A3

How did Ola's gross margin excluding PLI change in Q1 FY27, over the previous quarter and over the same quarter a year earlier?

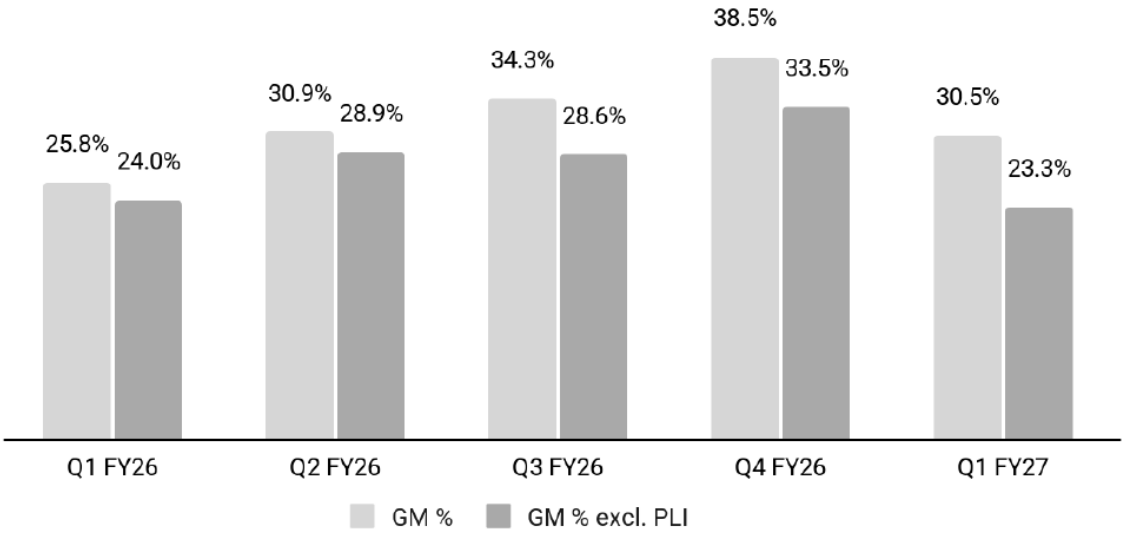
(a) Down about 8 percentage points over the quarter, up about 5 points over the year

(b) Down about 10 percentage points over the quarter, down about 1 point over the year

(c) Down about 10 percentage points over the quarter, up about 5 points over the year

(d) Up about 10 percentage points over the quarter, up about 1 point over the year

What you needed. Exhibit 2D, gross margin with and without the PLI incentive. The darker bars are GM % excl. PLI.



	Q1 FY27	Q4 FY26 (previous quarter)	Q1 FY26 (a year earlier)
GM % excl. PLI, darker bar	23.3%	33.5%	24.0%
GM %, lighter bar	30.5%	38.5%	25.8%

Working. Over the quarter : 23.3 − 33.5 = down 10.2 points. Over the year : 23.3 − 24.0 = down 0.7 points, about 1.

Answer : (b).

A4

By how much did Ola's average selling price per vehicle change in Q1 FY27, over the previous quarter and over the same quarter a year earlier?

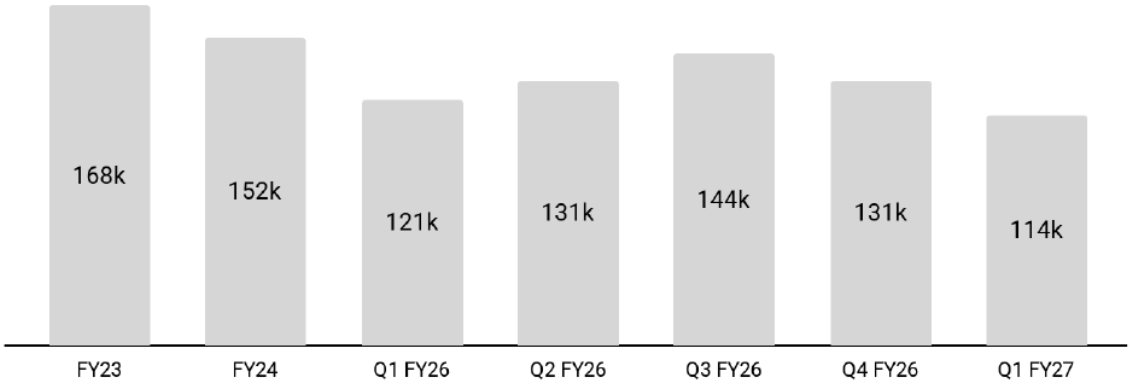
(a) Down about 11 per cent over the quarter, down about 4 per cent over the year

(b) Down about 6 per cent over the quarter, down about 13 per cent over the year

(c) Down about 15 per cent over the quarter, down about 6 per cent over the year

(d) Down about 13 per cent over the quarter, down about 6 per cent over the year

What you needed. Exhibit 2C, average selling price per vehicle, in ₹ thousand :



	Q1 FY27	Q4 FY26 (previous quarter)	Q1 FY26 (a year earlier)
Average selling price	**114k**	**131k**	**121k**

Working. Over the quarter : 114 ÷ 131 = 0.87, down 13 per cent. Over the year : 114 ÷ 121 = 0.94, down 6 per cent.

Answer : (d).

A5

In June, Ola raised ₹780 crore through a QIP, a sale of new shares to large investors. Suppose Ola keeps using cash outflow at Q1 FY27 levels. About how many quarters would the ₹780 crore cover?

(a) About 2.2 quarters

(b) About 4.7 quarters

(c) About 1.7 quarters

(d) About 3.6 quarters

What you needed. Exhibit 1, the article :

> In June, the company **raised Rs 780 crore** through a qualified institutional placement (QIP).

Exhibit 2A :

Particulars	Q1 FY27
Revenue from operations	455
Operating EBITDA	-165
Cash flow from operations (CFO)	-215
Free cash flow (FCF)	**-351**

Working. Cash outflow means all the cash going out of the business each quarter. Exhibit 2A has two cash lines, and free cash flow is the one that counts all of it : cash used in operations plus spending on plants and equipment (capex), which was 351 − 215 = ₹136 crore this quarter. At Q1 FY27 levels, both kinds of spending go on. 780 ÷ 351 = 2.2 quarters.

Answer : (a).

Part B

B1

Statement 1: Ola's "consolidated gross margins improved to 30.5% in the June quarter from 25.8% a year ago".

Statement 2: Exhibit 2D, the gross margin with and without the PLI incentive.

(a) Statement 1 can stand, and Statement 2 backs it : without the incentive, the margin also rose from a year earlier, by a little less

(b) Statement 1 can stand, but without the incentive the margin rose faster than with it, so the incentive's share of the margin shrank

(c) Statement 1 can stand, but Statement 2 shows the whole improvement came from cheaper batteries bought during the quarter

(d) Statement 1 can stand, but the improvement comes from the PLI incentive : without it, the margin was slightly lower than a year earlier

What you needed. Exhibit 2D, the same chart as A3 :

	Q1 FY27	Q1 FY26 (a year earlier)	Change
GM %, with PLI	**30.5%**	**25.8%**	up 4.7 points
GM % excl. PLI	**23.3%**	**24.0%**	down 0.7 points
Gap, the part PLI adds	7.2 points	1.8 points	

Reasoning. Statement 1 is right on the margin with PLI. Without PLI the margin fell a little. So the whole improvement is the incentive, which grew from 1.8 to 7.2 points of margin.

Answer : (d).

B2

Statement 1: "The total expenses included a one-time reversal of Rs 57 crore in Advanced Chemistry Cell (ACC) PLI (production-linked incentive) penalties."

Statement 2: The auditor's review report on these results.

(a) Statement 1 is right, and Statement 2 backs it : the auditor checked the reversal and agreed that the penalty no longer has to be paid

(b) Statement 1 is right that a reversal was booked, but Statement 2 shows it was booked in the earlier two years, before this quarter

(c) Statement 1 is right that a reversal was booked, but the auditor could not get enough evidence for it and qualified its conclusion

(d) Statement 1 is right, and Statement 2 adds that the ministry has already approved the waiver Ola asked for, so the reversal is final

What you needed. Exhibit 2E, the auditor's review report :

> Between the years ended 31 March 2024 and 31 March 2026, Ola Cell Technologies Private Limited ("OCTPL") ... had recognised a provision aggregating Rs. 57 crore ...
>
> **During the quarter ended 30 June 2026, OCTPL has reversed the entire provision** ... on the basis that it **had submitted a request** to MHI seeking an extension of time ... and a waiver of the related liquidated damages. As at 30 June 2026, **approval from MHI ... had not been received**.

> In the absence of approval from MHI ... **we were unable to obtain sufficient appropriate audit evidence** in relation to the reversal ...
>
> **Our conclusion on the Statement is qualified** because of the possible effect of this matter.

Answer : (c).

Why not the others.

(a) The reverse of what the auditor said. A qualified conclusion means the auditor could not confirm this part of the numbers. It did not say the reversal was wrong. It said it could not tell, because the ministry had not replied

(b) The provision was built up in earlier years. The reversal, taking it back out, happened in this quarter

(d) Ola had only asked. Approval "had not been received"

B3

Statement 1: Ola's cell business made an operating profit in Q1 FY27, with operating EBITDA of ₹28 crore.

Statement 2: Over the previous quarter, the cell business's revenue rose from ₹4 crore to ₹5 crore, and its operating expenses went from ₹39 crore to minus ₹21 crore.

(a) Statement 1 can stand, and Statement 2 explains it : higher sales and tighter cost control lifted the cell business into profit

(b) Statement 1 can stand on the printed figure, but most of the swing is a one-time accounting entry that cut the cell business's expenses this quarter

(c) Statement 1 can stand on the printed figure, but most of the swing is a one-time gain from selling cell equipment during the quarter

(d) Statement 1 can stand, and the cell business also made a net profit (profit after tax) in the quarter

What you needed. Exhibit 2B, cell segment :

Particulars	Q1 FY27	Q4 FY26 (previous quarter)
Revenue from operations	5	4
Operating expenses	**-21**	39
Operating EBITDA	**28**	-36
Profit after tax (PAT)	-28	-82

Exhibit 2 note : "On an expense line, [a minus sign] means a credit : money coming back, which lowers costs". Exhibit 2E : the ₹57 crore was reversed by **Ola Cell Technologies**, the cell subsidiary.

Working. EBITDA swung by 28 − (−36) = ₹64 crore. Revenue added only ₹1 crore. Cell expenses swung by ₹60 crore, from 39 to −21, close to the ₹57 crore credit booked by the cell subsidiary. Without that credit, cell EBITDA would be about 28 − 57 = −29, still a loss.

Answer : (b).

B4

Statement 1: "Aggarwal had guided two-wheeler orders between 40,000-45,000 and a consolidated revenue of Rs 500-550 crore for Q1".

Statement 2: What Ola reported for Q1 FY27 : orders in the article, revenue in Exhibit 2A.

(a) Ola met both parts of the guidance : orders and revenue both landed inside the ranges given in May

(b) Orders landed inside the guided range, but revenue came in below the bottom of its range by about ₹45 crore

(c) Revenue landed inside the guided range, but orders came in below the bottom of their range by about 4,000 units

(d) Ola beat both parts of the guidance : orders and revenue both came in above the top of the ranges given in May

What you needed. Exhibit 1, the article :

> Vehicle orders doubled to **44,071 units** in this quarter from 22,522 in the March quarter. Aggarwal had guided two-wheeler orders between **40,000-45,000** and a consolidated revenue of **Rs 500-550 crore** for Q1.

Exhibit 2A : Revenue from operations, Q1 FY27, **455**.

Working. Orders : 44,071 is inside 40,000 to 45,000. Revenue : 455 is below 500, short by 500 − 455 = ₹45 crore.

Answer : (b).

B5

Which headline do the exhibits support?

(a) Ola Electric's loss narrows, and it burns less cash than a year ago

(b) Ola Electric's loss narrows, and it turns cash positive for the first time

(c) Ola Electric's loss narrows, but it burns more cash than a year ago

(d) Ola Electric's loss widens, but its cash flow from operations improves on last quarter

What you needed. Exhibit 2A :

Particulars	Q1 FY27	Q4 FY26 (previous quarter)	Q1 FY26 (a year earlier)
Profit after tax (PAT)	**-336**	-500	**-428**
Cash flow from operations (CFO)	-215	91	-143
Free cash flow (FCF)	**-351**	-131	**-282**

Working. Loss : −336 against −428 a year ago, so it narrowed. Cash : free cash flow −351 against −282, so more cash went out.

Answer : (c).